

Financial Accounting - II Syllabus

• Module - 1 - Underwriting of Shares and Debentures.

Introduction, underwriting, underwriting Commission. Provisions of the Companies Act with respect to payment of underwriting Commission. Underwriters, ^{subunderwriters,} brokers and Managers to issues. Types of underwriting Amendment Clause ~~mark~~ mark, unmark, and firm underwriting application on liability of the underwriters in respect of underwriting.

Practical Problems :- Benefit given to underwriters and benefit not given to underwriters including journal entries.

• Module - 2 - Accounting Standard (AS) - 14

Amalgamation, Absorption of the Company external reconstruction (excluding inter-company holding.)

• Types of Amalgamation :

- Merger
- Purchase

• Accounting for Amalgamation - pooling of interest Method and purchase Method.

- Computation of purchase Consideration and treatment under purchase method only.
- Amalgamation post balance Sheet date. disclosure requirement of AS-14.
- Module-3- Internal Reconstruction.
 - Need for Reconstruction and Company law Provisions.
 - Distinguish between Internal and External Reconstruction.
 - Methods including - Alteration of Share Capital. Variation of Shareholders Rights. Sub-division and Consolidation. Surrender and Reissue. Cancellation and Reduction of Share Capital. Conversion of Stock into Shares and Vice-versa. with Relevant legal Provisions of the Companies Act, 2013. and Accounting treatment for the same.
- Module-4- Investment Accounting.
 - Forms and Classification of Investments.
 - How to Compute the Cost of Investments:- Current Investments, Long-term Investments, and Investment properties.
 - Disposal of Investments.

Module - 1

Underwriting of Shares and Debentures.

• Introduction :-

The SEBI (Underwriters) rules and regulations, 1993 deal primarily with issues such as registration, Capital adequacy, obligations, and responsibilities of underwriters. According to SEBI regulations, "underwriting" means an agreement with or without conditions to subscribe to the securities of a body corporate where the existing shareholders of such body corporate of the public do not subscribe to the securities offered to them.

When a company makes an Initial Public offer (IPO), it may face the risk of under-subscription. As per law, if the subscription is not at least 90% of the offered amount then all application money need to be refunded. To avoid the risk of under-subscription and the need for refunds, the company may seek the help of an underwriter. If the whole or a part of the securities of the company is not applied by the ~~the~~ public, the underwriter themselves take up ~~the~~ the balance.

* Underwriting Commission:

Meaning :-

The Consideration payable to the underwriters for underwriting the issue of Shares or debentures of a Company is called Underwriting Commission.

Such Commission is payable at the specified rate on the issue Price of the whole Shares and debentures underwritten, whether or not the underwriters are called upon to take a initial debentures.

Underwriting Commission may be in addition to brokerage.

Companies Act, 2013, The rate of Commission paid or agreed to be paid shall not exceed:

- In the Case of Shares 5% of the Price of Shares issued or the rate authorized by the Articles whichever is less.

- In the Case of debentures, ^{shall not exceed} 2.5% of the Price at which the debentures are issued or the rate specified in the Company's Articles, whichever is less.

* Underwriters, Sub-underwriters, Brokers and Managers to issue.

1) Underwriters :-

An underwriter means a person who engages in the business of underwriting the issue of securities of a company.

No person can act as an underwriter unless he holds the certificate granted by SEBI. and the person get the certificate only if he has the necessary infrastructure like adequate office space, equipment and manpower to effectively discharge his activities and he has any past experience in the underwriting or have in his employment minimum two person who have the experience in underwriting.

2) Sub-underwriter :-

In order to spread the risk of under-subscription, the principal underwriter may appoint sub-underwriters.

The underwriter can arrange for sub-underwriting of his own underwriting obligation on his own account with any person or terms to be agreed upon between them.

The underwriter shall be primarily responsible for sub-underwriting of any failure or default on the part of the sub-underwriter to ~~dis~~ discharge their obligations.

3) Broker :-

He merely Promises or tries to procure Subscriptions to the Shares or debenture issues. They do not take any responsibility for subscribing to the Shares or debentures of the Company.

They Simply procure Subscriptions for Shares or debentures from the public on behalf of the Company. In exchange for their Services rendered to the Company, they receive remuneration in the form of brokerage.

4) Difference between underwriter and Broker.

→ Underwriter	Broker
1) Liable to take up securities not subscribed by the public.	If the broker fails to find subscribers, he is not liable to take up securities not subscribed by the public.
2) Gets underwriting Commission even if the issue is is oversubscribed	If broker fails to find sub subscribers he gets no brokerage.
3) Gives a guarantee for the issue of securities.	Gives the service of finding subscribers for the issue.

5) Marked Application :-

An application form stamped with the name of the underwriter is known as a marked application.

The benefit of a marked application is given to the concerned underwriter.

If there is a sole underwriter who has underwritten the whole issue, it does not matter whether the applications are marked or not, as he will be given credit for all applications, whether they are sent through him or directly.

6) Unmarked Application :-

Those applications which do not bear the stamp of the underwriter are known as unmarked applications.

The benefit of an unmarked application is given to the company to the extent of the issue not underwritten.

In the case of surplus, the benefit of unmarked applications will be given to the underwriters in the ratio of their gross liability.

* Liability of the underwriters:

1) Gross Liability :-

It is the Contract of each underwriter to sell a specified number of shares to the public. The underwriting Commission is calculated on the basis of the gross liability of each underwriter, irrespective of whether the shares are subscribed by the public or whether the underwriting has to take the remaining shares.

2) Net Liability :-

It refers to the number of shares to be taken by each underwriter when the public has not subscribed to the same. Such securities are sold to the underwriter from the applications that have been added to the net liability of each underwriter.

* Liability of underwriters.

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Step	Particulars	Basis	A	B	C	Total
A	Gross liability	Agreed Ratio				
B	Less: Marked Applications	Actual				
C	Balance	(A - B)				
D	Less: Unmarked Applications	Gross liability				
E	Balance	(C - D)				
F	Less: Firm underwriting	Actual / Gross liability				
G	Net liability	(E - F)				
H	Add: Firm underwriting	Actual				
I	Total liability	G + H				

In the book of underwriters

Step	Particulars	Basis	A	B	C	Total
A	Gross liability	5:8:5	1000	1600	1000	3600
B	Less: Marked Applications	Actual	1000	1600	1000	3600
C	Balance	(A - B)	0	0	0	0
D	Less: Unmarked Applications	5:8:5	1000	1600	1000	3600
E	Balance	(C - D)	0	0	0	0
F	Less: Firm underwriting	5:8:5	1000	1600	1000	3600
G	Net liability	(E - F)	0	0	0	0
H	Add: Firm underwriting	Actual	1000	1600	1000	3600
I	Total liability	(G + H)	1000	1600	1000	3600

Illustration - 4 - (Full, Surplus of 1 underwriter Adjusted).

Chaitanya Limited issues 40,000 Shares. A Issue is underwritten by A, B and C in the ratio of 5:3:2 respectively. Unmarked applications totalled 2,000 whereas as marked applications are as follows A - 16,000, B - 5,700, and C - 8,300. Calculate the net liability of each one of the underwriters. ~~On~~ Unmarked applications are to be distributed amongst the underwriters in the ratio of their gross liability.

Solution:

In the books of Chaitanya Ltd.
Liability of underwriters.

Step	Particulars	Basis	A	B	C	Total
A	Gross Liability	5:3:2	20,000	12,000	8,000	40,000
B	Less: Marked Applications	Actual	(16,000)	(5,700)	(8,300)	(30,000)
C	Balance	(A-B)	4,000	6,300	(300)	10,000
D	Less: Unmarked Applications	5:3:2	(1,000)	(600)	(400)	(2,000)
E	Balance	(C-D)	3,000	5,700	(700)	8,000
F	Less: Firm underwriting.	5:3	(438)	(262)	700	-
G	Total Liability	(E-F)	2,562	5,438	Nil	8,000

Illustration - 5 - (No firm UW) (Full, Surplus of 1 UW).

Sampada Ltd. Was formed with a Capital of ₹ 20,00,000 divided into 2,00,000 Equity Shares of ₹ 10 each. All shares were issued to public for subscription. The issue was underwritten as follows:

- Ajay - 80,000 Shares; Bijoy - 60,000 Shares; and Rajat - 60,000 Shares.
 - Marked applications were received in favour of Ajay for 32,000 Shares, Bijoy for 58,000 Shares and Rajat for 42,000 Shares.
 - Applications for 30,000 Shares were not marked.
- Prepare a statement showing net liability of each underwriter. Unmarked applications are to be distributed amongst the underwriters in the ratio of their gross liability.

Solution:

In the books of Sampada Ltd.

Liability of underwriters.

Step	Particulars	Basis	Ajay	Bijoy	Rajat	Total
A	Gross Liability	8:6:6	80,000	60,000	60,000	2,00,000
B	Less: Marked Applications	Given	(32,000)	(58,000)	(42,000)	(1,32,000)
C	Balance	(A-B)	48,000	2,000	18,000	68,000
D	Less: Unmarked Applications	8:6:6	(12,000)	(9,000)	(9,000)	(30,000)
E	Balance	(C-D)	36,000	(7,000)	9,000	38,000
F	Less: Credit Adjusted	8:6	(4,000)	7,000	(3,000)	-
G	Net Liability	(E-F)	32,000	0	6,000	38,000

Illustration - 8 (Partial, Surplus of 1 underwriter Adjusted)

Excel Limited issued 40,000 Shares of ₹ 10 each.

These Shares were underwritten as follows:

A - 20,000 Shares, and B - 12,000 Shares.

The public applied for 33,000 Shares, which included marked applications from the underwriters as follows: A - 5,000 Shares, B - 3,000 Shares.

Direct applications received by the Company were for 5,000 Shares. Determine the net liability of the underwriters. Unmarked applications are to be distributed amongst the underwriters in the ratio of their gross liability.

Solution:

In the books of Excel Ltd.
 Liability of underwriters.

Step	Particulars	Basis	A	B	Company	Total
A	Gross Liability	10:6:4	20,000	12,000	8,000	40,000
B	Less: Marked Applications	Given	(5,000)	(3,000)	(5,000)	(13,000)
C	Balance	(A-B)	15,000	9,000	3,000	27,000
D	Less: Unmarked Applications	10:6:4	(10,000)	(6,000)	(4,000)	(20,000)
E	Balance	(C-D)	5,000	3,000	(1,000)	7,000
F	Less: Credit Adjusted	10:6:4	(625)	(375)	1,000	-
G	Net Liability	(E-F)	4,375	2,625	0	7,000

* Working Note: Total Applications - 33,000
 (-) Marked Applications - 13,000
 Total unmarked Applications 20,000

8. Partial underwriting.

K Limited issued 50,000 9% preference shares of ₹ 10 each, 75% of the issue was underwritten by M. In addition there is a firm underwriting of 5,000 shares by from M. In all the Company received applications for 42,000 shares. 30,000 share applications had the seal of Mr. M. Determine the liability of Mr. M, firm underwriting applications to be treated like marked applications. Ascertain the respective liability of the underwriter and company.

Solution: * Working Note:

20 Applications Received 30000 42,000 28A .2

Less: Marked Applications (30,000)

profitable than it took \$29,000

Less: Underwriter by K Ltd. (5,000) 70

unmarked Applications to 7,000

10,000 shares respectively

2000.04.2 for 6013232 where 2000/04/02

Excluding firm underwriting - The market

Applications from public where received as under

9 - 50,000, 50,000 - 9, 50,000 - 50,000

20. Compute the lipidity of each underweighter.

regards the number of orders to be placed

marit to ligand and first primu220 90

understanding is not given to individual persons

In the books of K Ltd.
Liability of underwriters and Company.

Step	Particulars	Basis	M	K Ltd.	Total
A	Gross Liability	3:1	37,500	12,500	50,000
B	Less: Marked Applications	Given	(30,000)	-	(30,000)
C	Balance	(A-B)	7,500	12,500	20,000
D	Less: Unmarked Applications	W.N.	-	(7,000)	(7,000)
E	Balance	(C-D)	7,500	5,500	13,000
F	Less: Firm underwriter	Given	(5,000)	-	(5,000)
G	Balance	(E-F)	2,500	5,500	8,000
H	Add: Firm underwriter	Given	5,000	-	5,000
I	Net Liability		7,500	5,500	13,000

- Q. ABC Limited came up with public issues of 3,00,000 equity shares of ₹ 10 each at ₹ 15 per share. P, Q, R took the underwriting of the issue in the ratio of 3:2:1 with the provision of firm underwriting of 20,000, 14,000, and 10,000 shares respectively applications were received for 2,40,000 shares excluding firm underwriting. The marked applications from public were received as under P - 60,000, Q - 50,000, R - 60,000. Compute the liability of each underwriter as regards the number of shares to be taken up assuming that the benefit of firm underwriting is not given to individual underwriters.

Solution: * Working Note: -11-2011

Applications received	2,40,000
Add: Firm underwriting	44,000
Total Applications	2,84,000
Less: Marked Applications	(1,70,000)
Unmarked Applications	1,14,000

In the books of ABC Ltd.
Liability of underwriters and Company.

Step	Particulars	Basis	P	Q	R	Total
A	Gross Liability	3:2:1	1,50,000	1,00,000	50,000	3,00,000
B	Less: Marked Applications	Actual	(60,000)	(50,000)	(60,000)	(1,70,000)
C	Balance	(A-B)	90,000	50,000	(10,000)	1,30,000
D	Less: Unmarked Applications	3:2:1	(57,000)	(38,000)	(19,000)	1,14,000
E	Balance	(C-D)	33,000	12,000	(29,000)	16,000
F	Less: Credit Adjusted	3:2:1	(17,400)	(11,600)	29,000	-
G	Net Liability	(E-F)	15,600	400	0	16,000
H	Add: Firm underwriters	Actual	20,000	14,000	10,000	44,000
I	Total Liability	(G+H)	35,600	14,400	10,000	60,000

Illustration - 11 - C Partial Underwriter, Benefit - No.

A, B and C Underwrote 60 per cent of an issue of 1,00,000 Preference Shares of ₹ 10 each in ratio of 3:2:1. The firm and marked application of the underwriters were as follows:

Underwriters	Firm	Marked.
A	10,000	22,000
B	8,000	18,000
C	6,000	10,000

In all, applications for 80,000 shares were received. Prepare the statement showing the liability of each underwriter. (Firm underwriting applications are to be treated as unmarked applications).

Solution:

In the books of Liability of underwriters:

Step	Particulars	Basis	A	B	C	Company	Total
A	Gross Liability.	3:2:1	30,000	20,000	10,000	40,000	1,00,000
B	Less: Marked Applications	Actual	(22,000)	(18,000)	(10,000)	0	(50,000)
C	Balance	(A-B)	8,000	2,000	0	40,000	50,000
D	Less: Unmarked Application	Actual	0	0	0	(30,000)	(30,000)
E	Balance	(C-D)	8,000	2,000	0	10,000	20,000
F	Add: Firm underwriting.	Actual	10,000	8,000	6,000	0	24,000
G	Net Liability	(E+F)	18,000	10,000	6,000	10,000	44,000

Illustration - 12 - (Full, Benefit - Yes, Surplus of 1 Underwriter).

Noman Ltd. issued 80,000 Equity Shares which were underwritten as follows:

Mr. A	48,000 Equity Shares
Messrs. B & Co.	20,000 Equity Shares
Messrs. C Corp	12,000 Equity Shares

The above mentioned Underwriters made applications for 'firm' underwritings as follows:

Mr. A	6,400 Equity Shares
Messrs. B & Co.	8,000 Equity Shares
Messrs. C Corp	2,400 Equity Shares

The total applications excluding 'firm' underwriting, but including marked applications were for 40,000 Equity Shares.

The marked applications were as under:

Mr. A	8,000 Equity Shares
Messrs. B & Co.	10,000 Equity Shares
Messrs. C Corp.	4,000 Equity Shares

(The underwriting Contracts provide that underwriters be given Credit for 'firm' applications and that Credit for unmarked applications be given in proportion to the Shares underwritten).

You are required to show the allocation of liability. workings will be considered as a part of your answer.

Solution: In the books of Norman Ltd.
 Liability of Underwriters.

Step	Particulars	Basis	A	B	C	Total
A	Gross Liability	48:20:12	48,000	20,000	12,000	80,000
B	Less: Marked Application	Actual	(8,000)	(10,000)	(4,000)	(22,000)
C	Balance	(A-B)	40,000	10,000	8,000	58,000
D	Less: unmarked Application	48:20:12	(10,800)	(4,500)	(2,700)	(18,000)
E	Balance	(C-D)	29,200	5,500	5,300	40,000
F	Less: Firm underwriting	Actual	(6,400)	(8,000)	(2,400)	(16,800)
G	Balance	(E-F)	22,800	(2,500)	2,900	23,200
H	Less: Credit of B adjusted	48:12	(2,000)	2,500	(500)	0
I	Balance	(G-H)	20,800	0	2,400	23,200
J	Add: Firm underwriting	Actual	6,400	8,000	2,400	16,800
K	Net Liability	(I+J)	27,200	8,000	4,800	40,000

* Working Note:

Total Received	40,000
Less: Marked	(22,000)
unmarked	<u>18,000</u>

* Journal entries of underwriting of shares and Debentures.

1) When Shares or Debentures are allotted to underwriters in respect of their liability.

Underwriters A/c ——— Dr.
 To Shares Capital A/c
 To Debentures A/c

2) When Commission becomes payable to the underwriters.

Underwriters Commission A/c ——— Dr.
 To underwriters' A/c.

3) When underwriters received amount of shares and Debentures.

Bank A/c ——— Dr.
 To underwriters A/c.

Illustration - 14 - (Full, Surplus of 2 underwriters adjusted).

Authorised Capital of Jalaram Ltd. was 12,50,000 Equity Shares of ₹ 10 each. Company issued 80% Shares at a premium of ₹ 2 per Share which was entirely underwritten as follows:

Kotak - 40% Thakkar - 20%

Kotecha - 30% Ganatra - 10%

Company received applications for 9,00,000 ~~Equity~~ Equity Shares including marked applications as below:

Kotak 2,85,000 Shares

Kotecha 3,00,000 Shares.

Thakkar 1,10,000 Shares.

Ganatra 1,05,000 Shares.

Underwriters are entitled to get 5% Commission on face value.

From the above information find out the liability of underwriters and give journal entries in the books of Jalaram Ltd.

Solution:

Jalaram Ltd. Underwriters Liability

Step	Particulars	Basis	Kotak	Kotecha	Thakkar	Ganatra	Total
A	Gross Liability	4:3:2:1	4,00,000	3,00,000	2,00,000	1,00,000	1,000,000
B	Less: Marked applications	Actual	(2,85,000)	(3,00,000)	(1,10,000)	(1,05,000)	(8,00,000)
C	Balance	(A-B)	1,15,000	-	90,000	(5,000)	2,00,000
D	Less: Unmarked applications	4:3:2:1	(40,000)	(30,000)	(20,000)	(10,000)	(1,00,000)
E	Balance	(C-D)	75,000	(30,000)	70,000	(15,000)	1,00,000
F	Less: Benefits of Kotecha/ Ganatra	4:2	(30,000)	30,000	(15,000)	15,000	-
G	Net Liability	(E-F)	45,000	-	55,000	-	1,00,000
H	Commission 5%		20,00,00	15,00,00	10,00,00	5,00,00	5,00,00

* Working Note:

1) Authorised Capital = $12,50,000 \times 80\% = 1,000,000$

Issued:

40%

Kotak

4,00,000

30%

Kotecha

3,00,000

20%

Thakkar

2,00,000

10%

Ganatra

1,00,000

2) Total received applications - Given 9,00,000

(-) marked applications 8,00,000

Unmarked applications 1,00,000

3) Commission:

$10,00,000 \times 10\% \times 5\% = 5,00,000$

Journal Entries:

No.	Particulars	Debit Amount	Credit Amount
1.	Bank A/c $(9,00,000 \times 12)$ ——— Dr $(9,00,000 \times 10)$ To Equity Share Capital A/c $(9,00,000 \times 2)$ To Securities Premium A/c (Being equity shares issued at ₹ 12 per share and money received in the bank)	1,08,00,000 18,00,000	9,00,000
2.	Kotak A/c $(45,000 \times 12)$ ——— Dr Thakkar A/c $(55,000 \times 12)$ ——— Dr $(1,00,000 \times 10)$ To Equity Share Capital A/c $(1,00,000 \times 2)$ To security Premium A/c (Being equity shares allotted to underwriters at ₹ 12 per share).	5,40,000 6,60,000 2,00,000	10,00,000
3.	Underwriting Commission A/c ——— Dr $(10,00,000 \times 10 \times 5\%)$ To Kotak A/c (40%) To Kotecha A/c (30%) To Thakkar A/c (20%) To Gantara A/c (10%) (Being Commission payable to underwriters).	5,00,000 2,00,000 1,50,000 1,00,000 50,000	
4.	Bank A/c (Net Dues) ——— Dr To Kotak A/c $(5,40,000 - 2,00,000)$ To Thakkar A/c $(6,60,000 - 1,00,000)$ (Being received from underwriters)	9,00,000 3,40,000 5,60,000	
5.	Kotecha A/c ——— Dr Gantara A/c ——— Dr To Bank A/c (Underwriting Commission) (Being underwriting Commission paid to Kotecha and Gantara by bank)	1,50,000 50,000 2,00,000	

Illustration - 12 (Multiple Underwriters).

Max Ltd. has authorized Capital of 1,00,000 equity Shares of ₹ 10 each. Company issued 60,000 Shares at a premium of ₹ 2 each. The entire issue was underwritten by Vicky, Ricky and Micky in the ratio of 5:3:2 respectively.

Applications were received for 48,000 Shares out of which marked applications were as follows:

Vicky	- 24,000 Shares
Ricky	- 8,550 Shares
Micky	- 12,450 Shares

Underwriters are entitled to get 5% Commission on issue price.

You are required to:

- Find out the net liability of underwriters.
- Pass Journal Entries in the books of Max Ltd.

Solution:

Solution:

Max Ltd.
 Liability of underwriters.

Step	Particulars	Basis	Vicky	Ricky	Micky	Total
A	Gross Liability	5:3:2	30,000	18,000	12,000	60,000
B	Less: Marked applications	Actual	(24,000)	(8,550)	(12,450)	(45,000)
C	Balance	(A-B)	6,000	9,450	(450)	15,000
D	Less: unmarked applications	5:3:2	(1,500)	(900)	(600)	(3,000)
E	Balance.	(C-D)	4,500	8,550	(1,050)	12,000
F	Less: Micky Credit adjusted.	5:3	(656)	(394)	1,050	Nil
G	Net Liability	(E-F)	3,844	8,156	Nil	12,000
H	Commission @ 5%.		18,000	10,800	7,200	36,000

* Working Note :

Total received applications - Given	48,000
(-) Marked applications	45,000
unmarked applications.	3,000

Max Ltd.

Journal Entries.

No.	Particulars	Lf	Debit (£)	Credit (£)
1.	Bank Alc ^(48,000 × 12) ——— Dr. 5,76,000 To Equity Share Capital Alc ^(48,000 × 10) 4,80,000 To Securities Premium Alc ^(48,000 × 2) 96,000 (Being application money received)			
2.	Vicky Capital Alc ^(3,844 × 12) Dr. 46,128 Ricky Capital Alc ^(8,156 × 12) Dr. 97,872 To Equity Share Capital Alc ^(12,000 × 10) 1,20,000 To Securities Premium Alc ^(12,000 × 2) 24,000 (Being Equity shares issued to underwriters)			
3.	Underwriters Commission Alc ——— Dr. 36,000 To Vicky Capital Alc 18,000 To Ricky Capital Alc 10,800 To Micky Capital Alc 7,200 (Being underwriters Commission dues).			
4.	Bank Alc ——— Dr. 1,15,200 To Vicky Alc ^(46,128 - 18,000) 28,128 To Ricky Alc ^(97,872 - 10,800) 87,072 (Being received from underwriters).			
5.	Micky Alc ——— Dr. 7,200 To Bank Alc 7,200 (Being underwriting Commission paid to micky by bank).			

Illustration - 26 (Benefit of firm underwriting given)

Ankush Ltd. makes a public issue of 5,00,000 shares of ₹ 25 each at 20% premium, entire amount is payable with application. MS. Shraddha and Ms. Pooja underwrote the whole issue in the ratio of 5:3:2. They applied for firm underwriting as below:-

MS. Bhakti	15,000 Shares
MS. Shraddha	15,000 Shares
MS. Pooja	24,500 Shares

The total subscriptions excluding firm underwriting but including marked applications were 3,60,000 Shares. The marked applications were as under:

MS. Bhakti	82,500 Shares
MS. Shraddha	55,000 Shares
MS. Pooja	41,000 Shares

5% Commission on issue price is allowed to underwriters:

Find out the liabilities of individual underwriters assuming benefit of firm underwriting is given. Pass necessary Journal entries in the books of Ankush Ltd.

Solution :-

Ankush Ltd.

Liability of underwriters.

Step	Particulars	Basis	Bhakti	Shraddha	Pooja	Total
A	Gross Liability	5:3:2	2,50,000	1,50,000	1,00,000	5,00,000
B	Less: Marked applications	Actual	(82,500)	(55,000)	(41,000)	(1,78,500)
C	Balance	(A-B)	1,67,500	95,000	59,000	3,21,500
D	Less: unmarked applications	5:3:2	(90,750)	(54,450)	(36,300)	(1,81,500)
E	Balance	(C-D)	76,750	40,550	22,700	1,40,000
F	Less: firm underwriting	Actual	(15,000)	(15,000)	(24,500)	(54,500)
G	Balance	(E-F)	61,750	25,550	(1,800)	85,500
H	Surplus of Pooja adjusted	5:3	(1,125)	(675)	1,800	Nil
I	Net Liability	(G-H)	60,625	24,875	Nil	85,500
J	Add: firm underwriting	Actual	15,000	15,000	24,500	54,500
K	Total Liability		75,625	39,875	24,500	1,40,000

* Working Note:

Total received applications - Given 3,60,000

(-) Marked applications 1,78,500

unmarked applications 1,81,500

Journal of Ankush Ltd.

Date	Particulars	Dr.	Debit (₹)	Credit (₹)
1.	Bank A/c ———— To Equity Share application A/c (Being received application money)	Dr.	1,08,00,000 90,00,000	1,08,00,000
2.	Equity Share application A/c — Dr. To Equity Share Capital A/c To Security Premium A/c (Being application money transferred to Share Capital A/c).	Dr.	1,08,00,000 90,00,000 18,00,000	
3.	Bhakti A/c ———— Shraddha A/c ———— Pooja A/c ———— To Equity Share Capital A/c To Security Premium A/c (Being Shares allotted to underwriters).	Dr. Dr. Dr.	22,68,750 11,96,250 7,35,000	35,00,000 7,00,000
4.	Underwriting Commission A/c — Dr. To Bhakti A/c To Shraddha A/c To Pooja A/c (Being Commission payable to underwriters).	Dr.	7,50,000 3,75,000 2,25,000 1,50,000	
5.	Bank A/c ———— To Bhakti A/c To Shraddha A/c To Pooja A/c (Being received from underwriters)	Dr.	34,50,000 18,93,750 9,71,250 5,85,000	

* Working Note:

1) Applications money: $3,60,000 \text{ Shares} @ ₹ 25 = 90,00,000$
 $3,60,000 \text{ Shares} @ ₹ 5 = 18,00,000$

1,08,00,000

2) Allotment

Amount

Bhakti: $75,625 \times 25 = 18,90,625$

$75,625 \times 5 = 3,78,125$

22,68,750

Shraddha: $39,875 \times 25 = 9,96,875$

$39,875 \times 5 = 1,99,375$

11,96,250

Pooja: $24,500 \times 25 = 6,12,500$

$24,500 \times 5 = 1,22,500$

7,35,000

3) Underwriting Commission:

Bhakti $(2,50,000 \times 30 \times 5\%) = 3,75,000$

Shraddha $(1,50,000 \times 30 \times 5\%) = 2,25,000$

Pooja $(1,00,000 \times 30 \times 5\%) = 1,50,000$

4) Statement of Amount due to / from underwriters.

Particulars	Bhakti	Shraddha	Pooja.
due from underwriters (Shares allotted)	22,68,750	11,96,250	7,35,000
(-) underwriting Commission	(3,78,125)	(1,99,375)	(1,22,500)
due from underwriters	18,90,625	9,96,875	6,12,500

Solution:-

In the books of Vishnu Ltd.

liability of underwriting.

Particulars	Basis	Atharva	Parthavi	Parha	Total
Gross liability	3:3:4	30,000	30,000	40,000	1,00,000
Less: Marked applications	Actual	(15,000)	(18,000)	(30,000)	(63,000)
Balance.		15,000	12,000	10,000	37,000
Less: Unmarked applications	3:3:4	(5,100)	(5,100)	(6,800)	(17,000)
Balance		9,900	6,900	3,200	20,000
Less: firm underwriting	Actual	(5,000)	(4,000)	(4,000)	(13,000)
Balance.		4,900	2,900	(800)	7,000
Less: Adjusted to Parha.	3:3	(400)	(400)	800	Nil
Balance.		4,500	2,500	Nil	7,000
Add: firm underwriting	Actual	5,000	4,000	4,000	13,000
Total liability		9,500	6,500	4,000	20,000
Commission @ 2.5% on issue Price.	3:3:4	9,000	9,000	12,000	30,000

* Working Note:

- 1) Total received applications - Given 80,000
 (-) Marked applications 63,000
 Unmarked applications. 17,000

2) Commission

$$1,00,000 \times 12 \times 2.5\% = 30,000$$

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Sr.no	Particulars	Dr. Debit (₹)	Credit (₹)
1.	Bank A/c ————— To Equity Share Application A/c (Being received application money on 80,000 Shares @ ₹ 12 each).	Dr. 9,60,000	9,60,000
2.	Equity Share Application A/c — Dr. To Equity Share Capital A/c To Security Premium A/c (Being application money transfer red to share capital A/c).	Dr. 9,60,000	8,00,000 1,60,000
3.	Atharva Capital A/c $\frac{9,500 \times 12}{}$ ————— Parthavi Capital A/c $\frac{6,500 \times 12}{}$ ————— Parna Capital A/c $\frac{4,000 \times 12}{}$ ————— To Equity Share Capital A/c $\frac{20,000 \times 10}{}$ To Security Premium A/c $\frac{20,000 \times 2}{}$ (Being Shares allotted to underwriters).	Dr. 1,14,000 78,000 48,000	2,00,000 40,000
4.	Underwriting Commission A/c — Dr. To Atharva Capital A/c To Parthavi Capital A/c To Parna Capital A/c (Being Commission payable to underwriters).	Dr. 30,000	9,000 9,000 12,000
5.	Bank A/c $\frac{\text{(Commission - allotted Shares)}}{}$ ————— To Atharva Capital A/c To Parthavi Capital A/c To Parna Capital A/c (Being received from underwriters).	Dr. 2,10,000	1,05,000 69,000 36,000